40

TOP SECRET COPY NO. ____

22nd Meeting

CLASSIFICATION CANCELLED BY AUTHORITY OF NSC MEMO 18-71
BY: GRDunlap NARS DATE 1-28-72

STATE-WAR-NAVY COORDINATING COMMITTEE

Minutes of the Meeting held in Room 200,
State Department Building,
on Friday, 31 August 1945, at 1030.

MEMBERS PRESENT

Mr. James C. Dunn, Chairman

Mr. John J. McCloy

Mr. Artemus L. Gates

OTHERS PRESENT

STATE

Mr. H. Freeman Matthews

Mr. Eugene H. Dooman

Mr. John Carter Vincent

NAVY

Mr. Francis X. Downey

Captain R. L. Dennison

Captain Lorenzo S. Sabin

WAR

Major General John H. Hilldring

Brig. General F. N. Roberts

Brig. General G. F. Schulgen

Colonel Harrison A. Gerhardt

Colonel R. Ammi Cutter

SECRETARIAT

Colonel Charles W. McCarthy (War)

Mr. Harold W. Moseley (State)

Colonel Paul G. Pennoyer (War)

Lt. Commander John D. Rockefeller, III (Navy)

Lt. Commander John C. Geilfuss (Navy)

Mr. John P. Gardiner (State)

Lieutenant Hugh D. Farley (Navy)

CLASSIFICATION CHANGED
To SECRET Authority: Ltr of 8-19-61
from James F. Byrnes, State Dept.
Name R. Queen
Date 6-15-66

CLASSIFICATION CHANGED
To SECRET Authority: Ltr of 5-19-61
from James E. Parks, State Dept.
Name K. Dunn
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: GSBarkley NNFS DATE 1-28-72

TOP SECRET

1. POLITICO-MILITARY PROBLEMS IN THE FAR EAST (SWNCC 16/6--Agenda Item No. 1)

MR. McCLOY stated that the new list of politico-military problems contained in SWNCC 16/6 and the priorities assigned to them were satisfactory with one exception. He felt it essential that a paper on our policy with respect to Chinese rearmament and related questions be included in the top priority list, Appendix "C". The Army urgently needs guidance both as to the United States policy and to the terms upon which any assistance contemplated in that policy is to be implemented. MR. DOOMAN suggested that SWNCC 83/1, approved in May, covered the problem in general. THE SECRETARY read the conclusions contained in that paper. MR. DUNN and MR. McCLOY agreed that the situation in relation to China has so changed that it would be desirable to prepare a new paper in view of the changed situation rather than to attempt to revise SWNCC 83/1. MR. GATES suggested that the desired end could be accomplished by placing Item VI of Appendix "B" of SWNCC 16/6 on the top priority list and having the War Department submit a statement of desired scope to the Subcommittee for the Far East.

THE SECRETARY stated that certain papers on the list of problems were now unnecessary in the light of recent events and suggested that SWNCC 67, 87, 110, 111 and 112 (Appendix "B", items numbered II 4, X and XI) be deleted. He reported that the Subcommittee for the Far East concurred in this suggestion.

THE COMMITTEE:

a. Approved the revised list of politico-military problems in the Far East (Appendix "B", SWNCC 16/6) and the priorities assigned (Appendices "C" and "D") after:

(1) deleting items II 4, X and XI of Appendix "B"; and

(2) adding the problems listed as Item VI of Appendix "B" to the list of top priority items contained in Appendix "C".

b. Agreed that the War Department should submit a statement of the desired scope of the paper on Chinese

CLASSIFICATION CHANGED
To SECRET /authority [illegible] 19-61
from [illegible] Dept.
Name K. Lewis
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: GSDowney WNFS DATE 1-28-72

rearmament to the Subcommittee for the Far East as a matter of urgency; and

c. Agreed that the following series of SWNCC papers be removed from the agenda: 67, 87, 110, 111 and 112.

2. DESTRUCTION OF JAPANESE EQUIPMENT (SWNCC 58 Series)

MR. McCLOY stated that the problem of Chinese rearmament raised questions as to our policy with respect to destruction of Japanese equipment. He pointed out that the Chinese will have possession of a large quantity of Japanese military equipment and may request equipment captured by U.S. forces. The Chinese may also seek to have the remains of the Japanese Navy transferred to them. GENERAL ROBERTS stated that General MacArthur has asked confirmation of the U.S. policy of destruction of captured equipment set forth in SWNCC 58/5. He suggested that a problem is created since our allies are not committed to such a policy. MR. DOWNEY commented that this policy should be interpreted in the same way as JCS 1067 in Germany. It extends to any areas over which U.S. forces have control and General MacArthur should endeavor to have other national commanders adopt the same policy, if possible.

THE SECRETARY stated that a proposed revision of SWNCC 58/5 had just been received from the Joint Chiefs of Staff and that the revision does not change the policy as to destruction.

THE COMMITTEE agreed that the principle of destruction of Japanese equipment stated in SWNCC 58/5 should be adhered to and that it would be confirmed by the Committee's action on the proposed revision of that paper.

3. UNITED STATES INITIAL POST-DEFEAT POLICY RELATING TO JAPAN (SWNCC 150/3; Agenda Item No. 2)

THE SECRETARY circulated the comments of the Joint Chiefs of Staff on this paper. The Joint Chiefs of Staff stated therein that they perceive no objection from the military point of view but suggested three modifications: (1) revision of the last sentence of Part III, Section 1; (2) addition of a sentence after the first sentence of Part III, Section 3; and

CLASSIFICATION CHANGED
To SECRET Authority NSC ltr of 5-19-61
from John F. Baker, State Dept.
Name K. Owen
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF NSC MEMO 18-71
BY: GSBradley NARS DATE 1-28-72

(3) addition of a sentence at the end of Part III, Section 3.

MR. McCLOY suggested that the Committee accept the first two amendments suggested by the Joint Chiefs of Staff but reject the third on the ground that it was inconsistent with the last sentence of Section II, 2, of SWNCC 150/3 which he deemed a preferable statement of policy. He also suggested that in the fourth line of the second paragraph of Section III, 3, the words "United Nations" be changed to "democracies" on the ground that the sentence as written was both indefinite and not in accord with U.S. objectives.

THE COMMITTEE:

a. Approved SWNCC 150/3 after revising Part III, Sections 1 and 3, as suggested by the Joint Chiefs of Staff and changing the words "United Nations" to "democracies" in the fourth line of the second paragraph of Part III, Section 3.

b. Agreed that Presidential approval of the paper be obtained and directed the Secretariat to prepare a letter of transmittal from the Secretary of State for this purpose.

c. Agreed that upon receipt of Presidential approval the paper be transmitted to the Joint Chiefs of Staff and to the State, War and Navy Departments for guidance and necessary implementation.

4. ALLIED CONTROL MACHINERY FOR THE JAPANESE EMPIRE (SWNCC 70/6--Agenda Item No. 3)

THE SECRETARY explained that this paper was placed on the agenda, although no comments have yet been received from the Joint Chiefs of Staff, in order to determine whether there is general Committee agreement on the approach of the paper.

MR. DOOMAN stated that advances had already been made by the British on the subject of control machinery and that it was contemplated that this subject would be the first item on the agenda of the Far Eastern Advisory Commission. MR. DOWNEY pointed out that this paper is designed to set forth the

CLASSIFICATION CHANGED
To SECRET Authority: [illegible] of 5-19-61
from [illegible] Dept.
Name K. Dunn
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: [illegible] DATE 1-28-72

United States position on the subject and urged that it be agreed on within the U.S. government now so that we will not be caught unprepared when we are required to discuss it with a foreign power. MR. DUNN emphasized the advantage of being the first to present a proposal on this subject.

GENERAL HILLDRING was concerned because he felt the paper, as drafted, specified two separate periods in the occupation with greater participation by other powers in the second period. He felt this undesirable because it would give the other powers an opportunity to press for an early shift to the second period, a shift which might well jeopardize our position and be detrimental to the occupation objectives. He also felt that emphasis should be placed on there being military control throughout.

MR. DOOMAN pointed out that during the early months of the occupation military considerations would predominate while during the later stages political considerations would be paramount. He stressed the importance of the latter if the stated United States objectives in Japan are to be realized.

MR. McCLOY felt it essential that we be prepared to give the other powers some control over the use of their own forces if we are to have them participate to any appreciable extent in the occupation. He felt also that our Russian relations in Europe would be helped, for example, if we don't adopt an exclusive attitude with respect to Japan. Furthermore, it is highly desirable that the Japanese and our allies fully appreciate that the occupation and control of Japan is a joint venture and not unilateral U.S. action. He felt it essential to have a realistic United States position agreed upon as soon as practicable.

MR. DUNN reviewed the history of the surrender and the appointment of General MacArthur as Supreme Commander for the Allied Powers. He noted that nowhere is a limit set as to the duration of his power. On August 20th the British submitted an Aide-Memoire suggesting the establishment of Japanese

CLASSIFICATION CHANGED
To SECRET Authority: Ltr of 5-19-61
from James P. Darke, State Dept.
Name K. Quick
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: GDDunlap NNPS DATE: 1-28-72

control machinery similar to that in Germany. We countered by proposing to China, Russia and the British the establishment of a Far Eastern Advisory Commission and told the British that control machinery could be discussed in it. He then read an Aide-Memoire received from the British on 30 August and a memorandum of his conversation with Mr. Balfou of the British Embassy at the time it was presented (subsequently circulated for information as SWNCC 70/8). MR. DUNN also stated that the Russians had approached General MacArthur about control machinery but he requested them to take the question up on the governmental level. He felt, in view of this background, that the United States must be ready with its proposal in the near future.

MR. DUNN stated in summary that our objective is to maintain control under one commander throughout the occupation and that we must brace ourselves for a drive by other governments to change the present arrangement.

THE COMMITTEE:

a. Agreed that the basic concept of SWNCC 70/6 should be followed, that language indicating division of the occupation into two distinct periods should be eliminated and that SWNCC 70/6 be referred back to the Subcommittee for the Far East for revision in light of this agreement and the discussion in this meeting.

b. Directed the Secretary to request the Joint Chiefs of Staff to defer action on SWNCC 70/6 pending such revision.

5. POSITIVE POLICY FOR REORIENTATION OF THE JAPANESE (SWNCC 162/1--Agenda Item No. 4)

MR. GATES suggested that this matter be referred back to the Subcommittee for the Far East for preparation of a comprehensive report on the positive steps that should be taken in the reorientation of the Japanese to implement our objectives.

MR. DOOMAN agreed but felt that on this problem it is essential to obtain the benefit of the best qualified opinion

CLASSIFICATION CHANGED
To SECRET Authority: Ltr. of 4-19-61
from James P. Burke, State Dept.
Name K. Queen
Date 6-15-72

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: GRDowney NARS DATE 1-28-72

in the United States, whether in or out of government. This report, he felt, should not be made by people who have only a cursory knowledge of the Japanese people. He felt it would be desirable to have a conference of qualified experts on this subject and stated that special arrangements would have to be made to finance the obtaining the participation of non-government people.

THE COMMITTEE agreed to refer SWNCC 162 series back to the Subcommittee for the Far East for preparation of the comprehensive report recommended therein, the Subcommittee to be authorized to obtain the best available opinion on the subject, whether within or out of the Government, and to approach the State Department with a view to obtaining necessary funds for this project.

6. ARREARAGES IN PAYMENTS BY CERTAIN AMERICAN REPUBLICS DUE FOR TRANSFERS UNDER LEND-LEASE AGREEMENTS (SWNCC 4/13--Agenda Item No. 5)

THE COMMITTEE approved SWNCC 4/13.

7. SURPLUS NAVY PROPERTY ABROAD--POSSIBILITY OF UTILITY TO STATE DEPARTMENT FOR TRADING PURPOSES IN NEGOTIATIONS (SWNCC 179--Agenda Item No. 6)

MR. GATES said that this proposal should apply to Army as well as Navy property. MR. DUNN stated that he strongly supported the proposal which he felt was thoroughly realistic.

MR. DOWNEY explained that the quid pro quo to be sought should not be confined to matters of military interest such as bases but should extend to all legitimate objectives of the United States Government.

MR. DUNN suggested creation of a special committee on the subject which could work out a program in conjunction with the Army-Navy Liquidation Commission. He designated Mr. John D. Hickerson as the State Department member with Mr. G. Hayden Raynor as alternate. MR. GATES stated that Assistant Secretary Hensel would arrange Navy participation. MR. McCLOY agreed to advise the Secretary promptly as to War Department representation.

CLASSIFICATION CHANGED
To SECRET Authority: Lt. [illegible] 6-19-61
from Jt. [illegible], State Dept.
Name K. Downey
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS 1709/18-71
BY: G.B. Bradley NNRS DATE 1-28-72

THE COMMITTEE:

a. Approved the proposal contained in SWNCC 179.

b. Agreed to appoint a special committee of representatives of the three departments to work out the methods for implementation of this proposal, the committee to be instructed to work to this end with Mr. Tom McCabe of the Army-Navy Liquidation Commission and representatives of the Surplus Property Board.

8. PRODUCTION IN GERMANY OF CHEMICALS FOR EXPORT TO THE UNITED STATES (SWNCC 180--Agenda Item No. 9)

MR. DOWNEY explained in general terms the Navy's requirement for hydrogen peroxide, the advantage of the product being produced in Germany and the fact that an exception to the provisions of IPCOG 1/4 (JCS 1067/6) is necessary to permit this being done. He explained that it is understood that the British, not being bound by IPCOG 1/4, are already producing the product in their zone and that there are reports that the small factory in the American Zone is being operated as part of an educational program.

MR. McCLOY agreed that it would be desirable to permit an exception as a matter of policy but that the duration of the exception should be specifically limited. MR. DUNN agreed with this and suggested a six months' limit. MR. DOWNEY suggested that eight months would be preferable since Navy requirements have only been stated to February 1946 and some extension beyond that date would be desirable.

MR. McCLOY also stated that there would be a question as to the availability of coal for the purpose. MR. DOWNEY suggested that this was an operational problem and, if it is impracticable to keep the factory in production, this fact will, of course, be controlling.

THE COMMITTEE agreed:

a. That an exception be made to the provisions of IPCOG 1/4 (JCS 1067/6) (paragraphs 30 and 32) to permit the production until 1 May 1946 of hydrogen peroxide

CLASSIFICATION CHANGED
To SECRET Authority: Ltr of 5-19-61
from James P. Burke, State Dept.
Name K. Dunn
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: GRBradley NNPS DATE 1-28-72

in Germany for export to the United States and this exception be, as governmental approval, transmitted to the Commander in Chief, U.S. Forces of Occupation, through the Joint Chiefs of Staff.

b. That the War and Navy Departments should collaborate in preparing a directive to General Clay concerning the production of hydrogen peroxide under this permission.

9. DISSOLUTION OF IPCOG AND DISPOSITION OF IPCOG PAPERS

THE SECRETARY reported that steps were being taken by Mr. Thorp to have formal notification of the dissolution of IPCOG, approved by the President at Potsdam, given the departments and agencies represented thereon. He pointed out that no problem arises as to disposition of pending IPCOG papers as there are only two outstanding (IPCOG 12 and 14 series) and both of these will be disposed of very shortly.

A discussion of future handling of German and Austrian problems ensued. MR. McCLOY suggested that SWNCC be the agency to handle all such matters. MR. DUNN felt, however, that most of the problems to arise would be economic and would be of an operational nature more susceptible of handling directly between the War and State Departments than by any Committee. Policy matters could be referred to SWNCC, however.

THE COMMITTEE agreed that future problems concerning the control and occupation of Germany and Austria should be handled directly between the War and State Departments, with the understanding that questions of policy will be referred to SWNCC for decision.

10. MISSION OF SWNCC

MR. McCLOY raised the question of the regularization of the mission of the Committee. He recalled that its authority stems from an exchange of letters between the three Secretaries and that it had been decided in the beginning not to have any more definitive statement of its authority. He suggested that it might now be desirable to have the three Secretaries sign a

CLASSIFICATION CHANGED
To SECRET Authority: Ltr of 5-19-61
from James F. Dunn, State Dept.
Name R. Dunn
Date 6-15-66

CLASSIFICATION CANCELLED BY AUTHORITY OF JCS MEMO 18-71
BY: GSBowling NNRS DATE 1-28-72

statement of the Committee's mission. The question was discussed briefly.

MR. DUNN agreed that this would be a desirable step and suggested that the President might be requested to sign such a statement also.

THE COMMITTEE agreed to defer consideration of this question until its next meeting.

11. CUSTODY OF JAPANESE ARCHIVES AND DIPLOMATIC PROPERTY (SWNCC 181/D)

It was noted that this paperraises not only the question of specific instructions concerning the matter of Japanese archives and diplomatic property but also the broad question of the nature and extent of the authority of the Supreme Commander. MR. McCLOY pointed out that this involves the question whether we have a negotiated peace or an unconditional surrender and the relation of the provisions of the Potsdam declaration to the power vested in the Supreme Commander for the Allied Powers. The question was discussed at some legnth but no decision was reached except that it was agreed that General MacArthur has power to direct the Japanese to turn over their archives and diplomatic property abroad and that he should be so instructed.

THE COMMITTEE:

a. Agreed to consider the broad question of the Supreme Commander's power at its next meeting.

b. Agreed that the Supreme Commander has authority to and should direct the Japanese authorities to turn over custody of Japanese archives and consular property abroad and instructed the Subcommittee for the Far East to draft a message to this effect for approval by the Committee.

12. COMMITTEE MEETINGS

In line with the suggestion of MR. GATES, THE COMMITTEE agreed that, in order to accelerate action on the many urgent Far Eastern matters which are pending, meetings of the Committee will be held more frequently than in the past and authorized the Secretariat to arrange meetings on short notice whenever this will facilitate action.